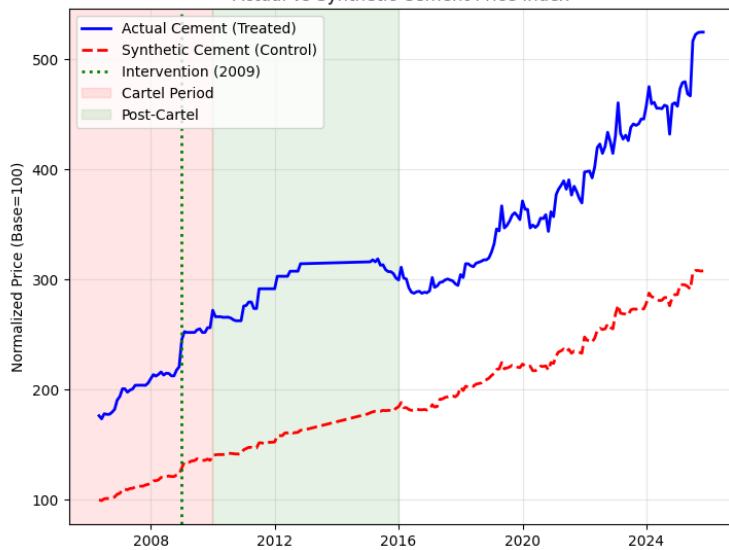
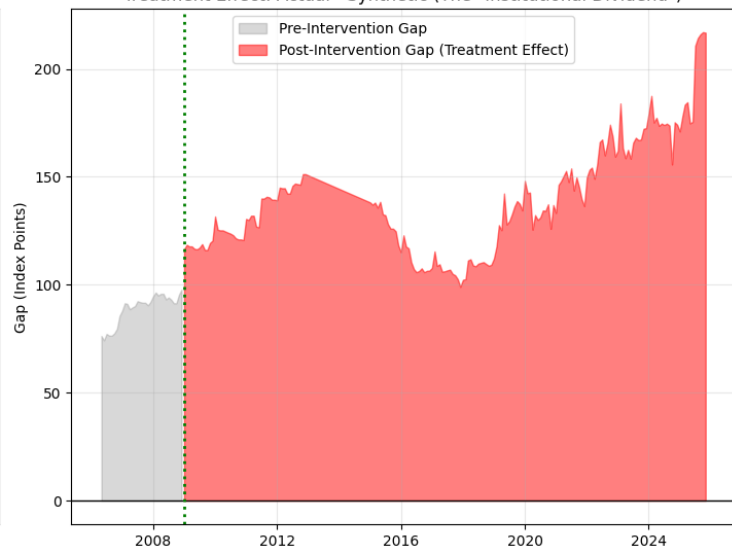


Synthetic Control Analysis: South Africa Cement Cartel (2009)

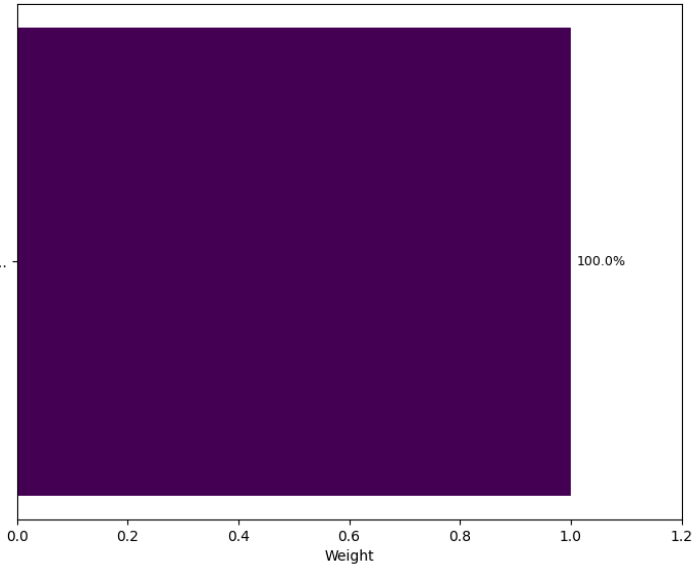
Actual vs Synthetic Cement Price Index



Treatment Effect: Actual - Synthetic (The "Institutional Dividend")



Donor Pool Weights (Synthetic Control Composition)



SYNTHETIC CONTROL METHOD RESULTS

MODEL FIT (Pre-Intervention Period)

RMSE: 89.23 index points
Mean Gap: 88.97
R² Equivalent: 0.756

TREATMENT EFFECT (Post-Intervention Period)

Mean Gap: 138.80 index points
Std Dev: 25.74

POSITIVE GAP = Prices HIGHER than counterfactual

Interpretation:
Cement prices remained HIGHER than synthetic control
possibly due to data limitations or confounding factors.

THE "INSTITUTIONAL DIVIDEND"

Average gap: 138.8 index points
relative to synthetic counterfactual

TOP DONORS BY WEIGHT

- Concrete (excluding formwork): 100.0%